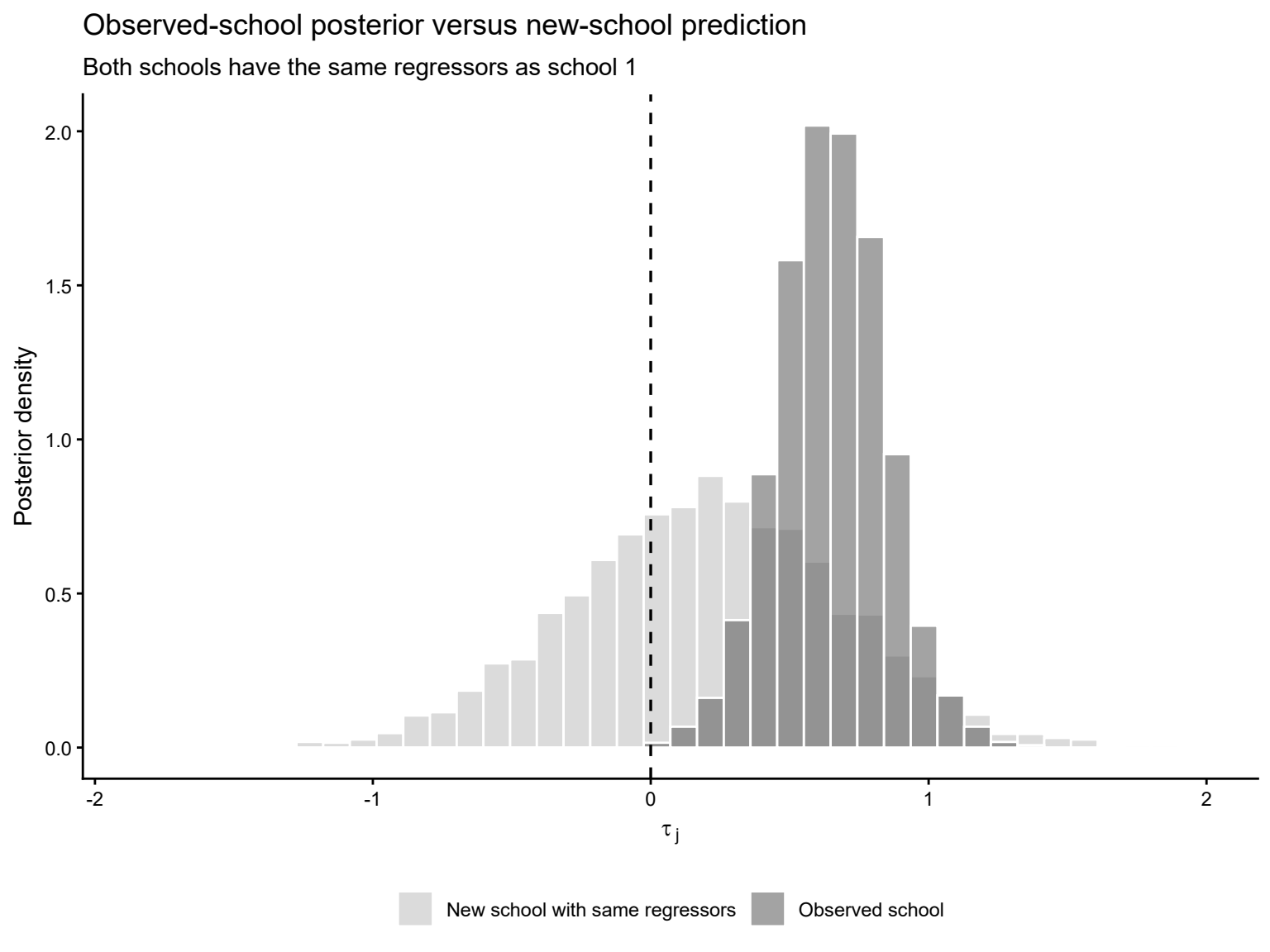
Observed-school posterior versus new-school prediction
Both schools have the same regressors as school 1
Posterior density
2.0
1.5
1.0
0.5
0.0
-2
-1
0
1
2
τ j
New school with same regressors
Observed school